

Table 70.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	88% up	89% up
Extension length	18 days	15 days
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 41%, M 39%, H 37%	L 35%, M 29%, H 29%
Throwbacks occurrence	62%	73%
Average time to throwback peaks	9% in 7 days	14% in 7 days
Average time to throwback ends	13 days	13 days
Average rise for patterns with throwbacks	36%	29%
Average rise for patterns without throwbacks	45%	45%
Percentage price resumes trend	65%	46%
Performance with breakout day gap	44%	33%
Performance without breakout day gap	38%	34%
Average gap size	\$0.53	\$0.51

We've seen with many other chart pattern types that a throwback hurts performance, and that's true with extended V-bottoms, too. I think it's because upward momentum is depleted during a throwback compared to those patterns that don't have a throwback.

Whatever the reason, look for nearby overhead resistance and try to pick patterns where there is little to none. Good luck with that (meaning it's not easy to find such a situation and price may throw back regardless).

After a throwback completes in bull markets, most of the time (65%) price will resume its upward march. You just have to remain in the trade long enough to participate in the rise (or consider buying after a throwback completes).

Gaps. A breakout day gap helps propel the stock upward in bull markets, according to the statistics, and quite handily, too. Because I measured